pass off returns generated through taking on beta risk as alpha by hiding the extent of beta risk. Since additional risks will generally imply higher returns, managers may take risks that are typically not in their comparison benchmark (and hidden from investors) so as to generate the higher returns to distinguish themselves.

For example, a number of hedge funds, insurance companies, and pension funds have entered the credit-derivative market to sell guarantees against a company defaulting. Essentially, these investment managers collect premia in ordinary times from people buying the guarantees. With very small probability, however, the company will default, forcing the guarantor to pay out a large amount. The investment managers are thus selling disaster insurance or, equivalently, taking on 'peso' or 'tail' risks, which produce a positive return most of the time as compensation for a rare very negative return. These strategies have the appearance of producing very high alphas (high returns for low risk), so managers have an incentive to load up on them, especially when times are good and disaster looks remote. Every once in a while, however, they will blow up. Since true performance can only be estimated over a long period, far exceeding the horizon set by the average manager's incentives, managers will take these risks if they can.

One example of this behaviour was observed in 1994, when a number of money market mutual funds in the United States came close to 'breaking the buck' (going below a net asset value of $1 per share, which is virtually unthinkable for an ostensibly riskless fund). Some money market funds had to be bailed out by their parent companies. The reason they came so close to disaster was because they had been employing risky derivatives strategies in order to goose up returns, and these strategies came unstuck in the tail event caused by the Federal Reserve's abrupt rate hike.